



United Foodbrands Ltd (UFBL)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID — CHASING HIGHS

CMP ₹487 (2 Jun)	52W H / L ₹487 / ₹172	MKT CAP ₹1,904 Cr	P/E (TTM) VS SECTOR N/A (loss) · P/B 6.1x	ROE / ROCE -18% / 1.5%
PROMOTER (Δ, PLEDGE) 34.6% (+0.9pp) · ~0.6% pL	FII / DII Δ 9.7% ↓ / 16.7% ↓	BETA ≈0.9 (approx)	ADV ~0.1M sh (thin)	BORROWINGS (GROSS) ₹885 Cr (incl. leases)

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

Q4 FY26 turnaround print (19 May 2026): 14.4% same-store sales growth — the 2nd straight strong quarter — narrowed the quarterly loss ~26-34% YoY and underwrote FY27 guidance of 9-10% pre-Ind-AS EBITDA margin, re-rating UFBL to a fresh 52-week high.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial inflection / Turnaround	SSSG +14.4%; Q4 loss ₹15→improving; rev +23% YoY to ₹360 Cr	M — SSSG strong but PAT still red	Played out; next proof = Q1 FY27 (~Aug 2026)

Priced in? Largely IN — stock +53% in 1Y and at ₹487 sits ~18% ABOVE the only published target (₹411). The SSSG recovery and expansion optionality are discounted; actual PAT breakeven and margin delivery are NOT yet proven. · Source: Q4/FY26 results & concall, 19 May 2026; Screener 2 Jun 2026

BULL

₹555-580

+14-19%: Q1 SSSG holds double-digit, margin tracks to 10%, re-rating extends as turnaround de-risks.

BASE

₹430-460

-6 to -12%: momentum cools, mean-reverts toward ₹411 consensus as annual loss persists.

BEAR

₹350-380

-22 to -28%: Q1 SSSG decelerates / debt-funded capex strains cash; momentum unwinds to breakout shelf.

A genuine demand-led recovery (14.4% SSSG, +18% festive footfall) is colliding with an unresolved profitability problem: FY26 net loss doubled to ₹62 Cr on ₹885 Cr gross borrowings, and the stock already trades at a fresh 52W high above the street's target. Momentum is real but extended — the edge is on pullbacks, not at the highs.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Expansion	Store ramp: 11 units under construction live by Q2 FY27; ~40 openings FY27; FY30 target 400-425 restaurants	Top-line scale-up + operating leverage	H	Q2 FY27 → FY30	Q4 concall, 19 May 2026
Fin. inflection	FY27 guidance: 9-10% pre-Ind-AS EBITDA margin + path toward PAT breakeven	The re-rating (or de-rating) trigger	M	H1 FY27	Concall, 19 May 2026
Demand	SSSG sustainability — Q4 14.4%, festive footfall +18% (Feb 2026)	Same-store rev +double-digit if it holds	M	Q1 FY27 (~Aug 2026)	Results/concall, May 2026
Capital / debt	Borrowings ₹885 Cr (+₹127 Cr YoY); capex debt-funded — risk of dilutive raise/QIP	Interest drag; potential equity dilution	M	FY27	Screener FY26, Jun 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Ownership	Promoter ↑ to 34.6% (from 33.7%); but DII cut 21.5%→16.7% & FII 10.5%→9.7%	Mixed — promoter add vs institutional exit	M	Confirmed (Mar-26 pattern)	Screener/Trendlyne, Mar 2026
Brand / M&A	"United Foodbrands" rebrand (Sep 2025) → house-of-brands (Barbeque Nation, Toscano, SALT); new-brand optionality	qualitative	L	Ongoing	Company filings, 2025–26
Technical	At fresh 52W high ₹487, extended ~18% above ₹411 target; momentum 78/100 but flagged "momentum trap"	Overbought into blue-sky; pullback risk	M	Now	Trendlyne, 2 Jun 2026

WHAT THE STREET IS PRICING IN

Thin formal coverage — only **2 analysts**, consensus 1-yr target **₹411**, i.e. **~16% BELOW** the ₹487 CMP. **IN the price:** the SSSG-led recovery, +18% festive footfall, the 400–425-store FY30 ambition and multi-brand re-rating optionality. **NOT in the price:** actual PAT breakeven, proof that the guided 9–10% EBITDA margin survives ₹885 Cr of debt-servicing, and that double-digit SSSG outlasts a soft festive base. Net: the market is paying ahead of the fundamentals — a momentum, not a value, bid.

KEY LEVELS & TRADE FRAME

Entry zone (approx — verify on chart)	₹440–460 (pullback only)
Stop (below ₹411 target / breakout shelf)	₹408
Target 1 / Target 2	₹525 / ₹565
R:R · suggested size	~1.8:1 · 2–3% capital

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	6.1x P/B & above target while loss-making; momentum unwind	-16 to -25%	H
No PAT breakeven	FY26 loss doubled to ₹62 Cr; Q1 FY27 loss fails to narrow	-20%	M
Debt / interest drag	₹885 Cr borrowings, ROCE 1.5% < cost of debt; possible dilutive raise	-15%	M
SSSG deceleration	Discretionary dining softens; festive base effect fades	-15%	M
DII exit continues	DII cut 21.5%→16.7% over the year; further institutional selling	-10%	M
Thin liquidity	ADV ~0.1M sh — gap/slippage risk on exit	qual.	M

CATALYST CALENDAR

DATE	EVENT
~Aug 2026	Q1 FY27 results + SSSG print (the key turnaround proof)
Q2 FY27	11 new restaurants go operational (first expansion tranche)
Aug–Sep 2026	AGM / FY26 annual report — RPTs, debt & lease detail
~Aug 2026	Quarterly shareholding — promoter / DII trend
FY27	~40-store opening cadence; EBITDA margin tracking to 9–10%

AVOID

A real demand recovery, but the stock is at a 52W high ~18% above the only street target while still loss-making with ₹885 Cr of debt — the risk/reward of fresh entry at the highs is poor. Momentum traders can engage only on a pullback into ₹440–460 with a ₹408 stop. **Flips the call:** a Q1 FY27 print (~Aug) showing double-digit SSSG sustained AND EBITDA margin tracking to 9–10% with the loss visibly narrowing toward breakeven — that would justify a TACTICAL LONG.

MPM · SCREEN — ANALYZE — INVEST

For information only; not investment advice. UFBL is loss-making and illiquid — position sizing and stops are essential. Figures cross-checked across sources; vendor 52W/price reads were reconciled to the internally-consistent Screener set (price × shares ≈ market cap). A stale ₹212 quote and an inconsistent ₹584 52W-high read were discarded.

Sources: Q4 & FY26 results / concall 19 May 2026 (sahi.com, univest.in, whalesbook); Screener.in (consolidated) 2 Jun 2026; Trendlyne 2 Jun 2026; MarketScreener; company name-change filing Sep 2025.

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